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Provision of October 17, 2024

Register of provisions

No. 622 of October 17, 2024

THE GUARANTOR FOR THE PROTECTION OF PERSONAL DATA

IN THE meeting held today, attended by
Prof. Pasquale Stanzione, President, Prof.
Ginevra Cerrina Feroni, Vice President, Dr.
Agostino Ghiglia and Attorney Guido Scorza, members, and
Secretary General Fabio Mattei;

HAVING REGARD to Regulation (EU) 2016/679 of the European Parliament
and of the Council, of April 27, 2016, concerning
the protection of natural persons with regard to
the processing of personal data, as well as the free
movement of such data and repealing Directive
95/46/EC (General Data Protection Regulation, hereinafter "Regulation");

HAVING REGARD to the Code regarding the protection of personal data
(legislative decree June 30, 2003, No. 196), as
amended by legislative decree August 10, 2018 No. 101, containing
provisions for the adaptation of the national
legal system to the aforementioned Regulation (hereinafter
"Code");

HAVING SEEN the documentation on file;

HAVING SEEN the observations made by the Secretary
General pursuant to Article 15 of the Guarantor's
Regulation No. 1/2000;

REPORTING Prof. Ginevra Cerrina Feroni;

PREMISED

1. THE INSTRUCTIONAL ACTIVITY CARRIED OUT

With a complaint dated April 2, 2024, Ms. XX
complained about receiving an unwanted
telephone call from "XX" on February 19 of this year, in the absence
of consent, and stated that she had not received
a response to her request to know the origin of the
personal data and for their deletion made on the same date and
repeatedly requested (specifically on February 26 and March 5, 2024).
In particular, initially the complainant contacted
XX S.p.A., which - while declaring its
non-involvement in relation to the complained conduct and attributing it to a
promotional initiative of Studio Immobiliare Pianezza S.r.l.s.
(hereinafter "Immobiliare Pianezza" or "Company"),
an independent data controller - redirected
the communications of the interested party to the aforementioned Company,
urging it to provide a prompt response.
On April 9, 2024, the Office sent the aforementioned
Companies a request for information, pursuant
to Article 157 of the Code (ref. prot. No. 44127/24),
to which both XX S.p.A. and Immobiliare Pianezza
responded; the former confirmed what

had already been communicated to the complainant regarding its non-involvement, while the latter stated - in a communication dated April 20, 2024 - that the telephone number of the interested party, acquired years earlier from the list provider XX (hereinafter "XX") and "saved by the previous agency manager on paper," had been improperly used by one of its collaborators, in violation of company directives. Furthermore, a prompt response regarding the deletion of the data was provided by Immobiliare Pianezza to the complainant via telephone, but it did not send her a written confirmation, except following the intervention of the Guarantor.

2. THE CONTESTATION OF VIOLATIONS

The Office deemed it appropriate to proceed exclusively against Immobiliare Pianezza, an affiliate of XX, as an independent legal entity in relation to the Franchisor (owner of the trademark - in this case XX). In this regard, for the aspects of interest within the scope of this proceeding, it should be clarified that the institution of commercial affiliation (Franchising), governed by Law No. 129 of May 6, 2004, is realized through the signing of a contract "between two legally independent entities, economically and legally, based on which one party grants the other, for consideration, a set of rights of industrial or intellectual property [...] for the purpose of marketing certain goods or services" (Article 1 of Law No. 129/2004 cited). Based on this, the real estate agencies included in the affiliation circuit are considered legally and economically independent, without subordination to the Franchisor. It follows that the responsibility for the conduct complained of in the relevant complaint is attributable solely to the Affiliate (Immobiliare Pianezza), which acted as an independent data controller.

Therefore, the Office proceeded to contest to the Company the violations identified in the initiation of the procedure dated May 3, 2024 (ref. prot. No. 53807/24), duly notified to the email address indicated in the Business Register of the Chamber of Commerce (specifically XX) as well as to the contact present on the relevant website (XX).

Hereby fully recalling the reasons expressed in the aforementioned act, Immobiliare Pianezza was charged with the violation of Article 5, paragraphs 1, letter f), 2 and 24 of the Regulation for failing to ensure, nor prove, an adequate protection of the personal data it held from unauthorized processing and access, by adopting appropriate security measures that ensure the integrity and confidentiality of the data; furthermore, the Company was unable to prove that it had even conducted the necessary checks regarding the legality of the

data acquired from the list provider, such as the information provided and the consents given by the interested parties, recipients of the promotional campaign.

Finally, regarding the delayed response to the exercise of rights, considering that the Company, in its initial communication with the complainant, limited itself to assuring the mere cancellation of personal data without providing clarifications regarding their origin except after the intervention of the Authority, it was deemed that there was a violation of Articles 12, paragraph 3, and 15 of the Regulation, as well as Articles 6 and 7 of the Regulation and Article 130 of the Code for not having obtained any consent for the receipt of promotional phone calls.

3. LEGAL ASSESSMENTS

Immobiliare Pianezza did not exercise its right of defense concerning the contested charges and, therefore, did not produce defensive memoranda, nor did it request a hearing pursuant to Article 166, paragraph 6, of the Code and Article 13 of the internal Regulation of the Guarantor No. 1/2019. Notwithstanding this, it must be considered that the procedure initiated with the notice of contestation was adequately instructed and full proof of the responsibility of Immobiliare Pianezza regarding the observations made against it was acquired.

First of all, Immobiliare Pianezza acted as the data controller, pursuant to Article 4 of the Regulation, having concretely determined the purpose for which the processing was carried out (promotion of its services) and the telephone channel used for this purpose (see, by way of example, provision No. 412 of November 25, 2021, web document No. 9736961; provision No. 413 of November 25, 2021, web document No. 9737185; provision No. 424 of December 2, 2021, web document No. 9731682; all at www.gpdp.it). Therefore, both the obligations imposed by the legislation on the protection of personal data and the responsibility for the violations detected are directly attributable to the same Company. Having clarified this, it does not appear that the Company, as the data controller, provided documentation proving the existence of the legality requirements for the personal data acquired from XX, such as the information provided and the consents given by the complainant recipient of the promotional campaign, nor that it carried out such verifications in any other way. It was found, in fact, that the complainant's contact details came into the Company's possession for unknown reasons, attributable to unspecified operations by previous "agency managers." It was also not clarified whether the relationship with the supplier XX was in any way formalized in an agreement or contract that defined the privacy roles.

Therefore, the personal data thus acquired, lacking the necessary legality requirements that would have authorized their use, were found to be stored, without any precautions and for an indefinite period, on an unguarded paper support freely accessible by the Company's employees, moreover in the absence of a formal "assignment of functions and tasks to designated subjects" for processing, pursuant to Article 2-quaterdecies of the Code. Additionally, Immobiliare Pianezza did not minimally consider the risks to the rights and freedoms of the data subjects arising from the failure to adopt appropriate security measures that could ensure the integrity and confidentiality of the personal data held by it, as provided for by Article 32, paragraph 1, letters b) and d), and paragraph 2, of the Regulation; the Company nonetheless proceeded with the processing of the personal data contained in the lists provided by XX despite the unusability of the same data, as provided for by Article 2-decies of the Code. Furthermore, the circumstance of human error invoked by the Company (in the response of April 20, 2024) as a justification for the complained conduct, attributable to a personal initiative of one of its employees, would indicate, in itself, a lack of training of its collaborators, but above all insufficient organizational and control measures by the data controller, along with the inability to comply with the obligation to demonstrate compliance with the rules (so-called "accountability"). It is therefore deemed necessary to confirm the violation of Articles 5, paragraphs 1, letter f), 2, and 24 of the Regulation.

Moreover, the request to exercise rights was responded to late (only after the intervention of the Authority) and partially, since, as already mentioned, the legality requirements that would have

legitimized the availability of the data held by the Company were not clarified, but assurances were given to the complainant and during the investigation solely regarding the deletion of the data themselves (see response of April 20, 2024). In this regard, the mere deletion of the complainant's data, as represented by the Company in its response to the exercise of rights, does not exhaust the obligations of the data controller who, in the case in question, should have provided all the information that could allow the complainant to reconstruct the circumstance in which they would have given the alleged consent to marketing, as well as identifying the distribution of responsibilities within the processing, the methods and purposes, along with the relevant legal bases of legality, of the processing itself.

For these reasons, the request for access to personal data cannot be considered satisfied and was not responded to within the terms provided for by Article 12, paragraph 3, of the Regulation, nor did the Company, during the procedure, provide explanations regarding the lack of response, having moreover been contradicted by the complainant regarding the circumstance of the telephone confirmation of the deletion. Likewise, since no consent for the receipt of promotional phone calls was obtained, the processing appears to have been carried out in the absence of an adequate legal basis. Such conduct can also be considered attributable to a general inability of the Company to ensure adequate control over operations that involve a

****Processing of Personal Data**** (formation of lists and indication of the legal basis for their lawful use, management of requests to exercise rights), such that the error cited as justification for the unwanted contact and the lack of response to the complainant cannot be considered excusable. Therefore, it is believed that the violation of Articles 12, paragraph 3, and 15 of the Regulation, as well as Articles 6, paragraph 1, letter a), 7 of the Regulation, and Article 130 of the Code, is also confirmed.

****4. CONCLUSIONS****

In light of the arguments set forth in point 3 of this provision, the contested violations are deemed confirmed, and it is necessary to:

- a) pursuant to Article 58, paragraph 2, letter f), of the Regulation, prohibit the processing of personal data acquired from list provider XX in the absence of appropriate consent from the data subjects for marketing activities, pursuant to Articles 6 and 7 of the Regulation, as well as Article 130 of the Code;
- b) pursuant to Article 58, paragraph 2, letter d), of the Regulation, order the immediate deletion of said data, except for those that must be retained to fulfill a legal obligation or for the defense of a right in court, as well as for any other purpose that does not require informed, free, specific, documented, and unequivocal consent from the data subject.

Finally, regarding the processing already carried out and considering the violations established above, it is believed that the conditions exist for the application of an administrative pecuniary sanction pursuant to Articles 58, paragraph 2, letter i) and 83 of the Regulation.

****5. ORDER FOR THE APPLICATION OF THE ADMINISTRATIVE PECUNIARY SANCTION****

Based on the above, various provisions of the Regulation and the Code have been violated in relation to connected processing carried out by Immobiliare Pianezza, for which it is necessary to apply Article 83, paragraph 3, of the Regulation, according to which, if, in relation to the same processing or connected processing, a data controller violates, with intent or negligence, various provisions of the Regulation, the total amount of the administrative pecuniary sanction does not exceed the amount specified for the most serious violation, resulting in the application of only the sanction provided for by Article 83, paragraph 5, of the Regulation.

For the purposes of quantifying the administrative sanction, the aforementioned Article 83, paragraph 5, sets the maximum penalty at the sum of 20 million euros or, for companies, at 4% of the worldwide annual turnover of the previous financial year if higher, specifying the methods for quantifying the aforementioned sanction, which must "in any case [be] effective, proportionate, and dissuasive" (Article 83, paragraph 1, of the Regulation), identifying, for this purpose, a series of elements listed in paragraph 2 to be evaluated when quantifying the relevant amount.

In fulfillment of this provision - noting, based on the information available in the last balance sheet (registered as of December 31, 2022), the occurrence of the first hypothesis provided for by the aforementioned Article 83, paragraph 5, of the Regulation and thus quantified at 20 million euros as

the maximum applicable penalty - the following aggravating circumstances must be considered:

1. the negligent nature of the conduct, given that the rules for the protection of personal data were completely ignored by the controller until the intervention of the Authority (Article 83, paragraph 2, letter b, of the Regulation);
2. the severity and duration of the violations detected. In particular, regarding the unwanted phone call and the delayed and inadequate response to the request to exercise rights, considering that this was an isolated case, a low level of severity of the violation can be considered. However, regarding the data provided by the list provider and retained for years by the Company on freely accessible media, there is a potentially very significant harm to all data subjects present in the list acquired from the provider, even though there is no knowledge of the actual phone contacts made exploiting this vulnerability; the same phone call directed to the complainant - who appears to be the only interested party involved - resulted from an individual initiative of which the Company became aware only after the intervention of the Authority. For this aspect, therefore, the level of severity can be assessed as medium (Article 83, paragraph 2, letter a, of the Regulation);
3. the failure by the data controller to adopt adequate measures to mitigate the damage referred to in the previous point, given that the Company limited itself to ensuring the mere deletion of the complainant's data without proposing targeted interventions to overcome the described vulnerabilities and thus to ensure the integrity and confidentiality of the data held by it (Article 83, paragraph 2, letter c, of the Regulation);
4. the low degree of cooperation in interaction with the supervisory Authority considering that the Company did not submit defensive briefs, nor did it provide specific responses to the Office's request for information, which did not allow for a complete definition of the processing in question (Article 83, paragraph 2, letter f, of the Regulation).

As mitigating factors, it is believed that account can be taken of:

1. the number of subjects affected by the violations, since, although these have the potential to cause harm to all users present in the list acquired from the provider, in practice, and based on what has been...

established that the processing involved the making of a single unwanted phone call to the complainant (art. 83, par. 2, lett. a, of the Regulation);

2. the absence of previous relevant violations committed by the data controller (art. 83, par. 2, lett. e, of the Regulation);
3. the overall assessment of the economic capacity of the Company, which meets the criteria for a micro-enterprise, with particular reference to the latest available financial statement for the year 2022 (art. 83, par. 2, lett. k, of the Regulation).

In considering the necessary balance between the rights of the data subjects and the freedom of enterprise, it is essential to prudently evaluate the aforementioned criteria, also in order to limit the economic impact of the sanction.

Therefore, it is believed that - based on the overall elements mentioned above - an administrative sanction of payment of an amount of €5,000.00 (five thousand/00) should be applied to Immobiliare Pianezza, equivalent to 0.025% of the maximum administrative fine of €20 million.

In this case, it is also believed that the accessory sanction of publication on the Garante's website of this

provision, as provided for by art. 166, par. 7, of the Code and art. 16 of the Garante's Regulation no. 1/2019, should be applied.

In implementation of the principles set out in art. 83 of the Regulation, the imposition of such an accessory sanction appears reasonable and proportionate in light of the seriousness and particular disvalue of the conduct subject to censure, with specific reference to the duration of the established violation and the potentially high number of subjects involved, as noted in point 2 of the aggravating circumstances mentioned above. Furthermore, the failure to adopt security measures

that could ensure the integrity and confidentiality of the data has not been followed by any targeted intervention to overcome the described vulnerability, even following the intervention of the Garante; this, along with the lack of a procedure for selecting list providers, indicates a culpable and ongoing insensitivity to the issue of personal data protection. It is noted that, pursuant to art. 170 of the Code, anyone, who is obliged to do so, does not comply with this prohibition order is punishable by imprisonment from three months to two years and that, in the event of non-compliance with the same order, the sanction provided for in art. 83, par. 5, lett. e) of the Regulation also applies administratively.

Finally, the prerequisites of art. 17 of Regulation no. 1/2019 concerning internal procedures with external relevance, aimed at carrying out the tasks and exercising the powers delegated to the Garante, for the annotation of the violations identified here in the internal register of the Authority, as provided for by art. 57, par. 1, lett. u) of the Regulation, are met.

ALL OF THE ABOVE HAVING BEEN STATED, THE GARANTE pursuant to art. 57, par. 1, lett. f), of the Regulation, declares the processing described in the terms of the motivation carried out by Immobiliare Pianezza S.r.l.s., with registered office at via Don Bosco 6, 10044 Pianezza (TO), VAT no. 12492720011, unlawful; consequently:

a) pursuant to art. 58, par. 2, lett. f), of the Regulation, prohibits the processing of personal data acquired from the list provider XX in the absence of appropriate consent from the data subjects for the marketing activity, pursuant to arts. 6 and 7 of the Regulation, as well as 130 of the Code;

b) pursuant to art. 58, par. 2, lett. d), of the Regulation, orders the immediate deletion of said personal data, except for those that must be retained for

the fulfillment of a legal obligation or for the defense of a right in judicial proceedings as well as for any other purpose that does not require informed, free, specific, documented, and unequivocal consent from the data subject;

c) pursuant to art. 157 of the Code, orders Immobiliare Pianezza to inform the Authority, within thirty days from the notification of this provision, of the initiatives undertaken in order to implement the measure imposed in the previous point b); any failure to comply with the provisions of this point may result in the application of the administrative monetary sanction provided for in art. 83, par. 5, of the Regulation.

ORDERS

pursuant to art. 58, par. 2, lett. i), of the Regulation, Immobiliare Pianezza S.r.l.s., in the person of its legal representative, to pay the sum of €5,000.00 (five thousand,00) as an administrative monetary sanction for the violations indicated in the motivation; it is noted that the offender, pursuant to art. 166, par. 8, of the Code, has the option to settle the dispute by payment, within 30 days, of an amount equal to half of the sanction imposed.

ORDERS

the aforementioned Company, in case of failure to settle the dispute pursuant to art. 166, par. 8, of the Code, to pay the sum of €5,000.00 (five thousand,00), according to the methods indicated in the attachment, within 30 days from the notification of this provision, under penalty of the adoption of subsequent enforcement acts in accordance with art. 27 of law no. 689/1981;

PROVIDES

a) pursuant to art. 166, par. 7, of the Code, for the full publication of this injunction order on the Garante's website;

b) pursuant to art. 17 of the Garante's Regulation

n. 1/2019, provides for the annotation in the internal register of the Authority, as provided for by art. 57, par. 1, lett. u) of the Regulation, of the violations and the measures adopted;

c) the publication of this provision pursuant to arts. 154-bis of the Code and 37 of the aforementioned Regulation n. 1/2019.

Pursuant to art. 78 of Regulation (EU) 2016/679, as well as arts. 152 of the Code and 10 of Legislative Decree 1st September 2011, n. 150, an appeal against this provision may be made to the ordinary judicial authority, by filing a petition with the ordinary court of the place where the data controller resides, or, alternatively, to the court of the place of residence of the data subject, within thirty days from the date of communication of the provision itself, or sixty days if the appellant resides abroad.

Rome, 17 October 2024

THE PRESIDENT

Stanzione

THE REPORTER

Cerrina Feroni

THE SECRETARY GENERAL

Mattei